Code 40/D

Tax Law

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Law No. 91 Of The Year 2005
Promulgating

The Income Tax Law

In the name of the People,

The President of the Republic,

The People's Assembly passed the following bill and we hereby promulgate it into law:

Article : 1

The provisions of the attached law shall apply in respect of the income tax.

Article : 2

The income tax law as promulgated by law No. 157 of the year 1981 shall be revoked, providing the appeal committees established according to the provisions of the said income tax law shall continue until 31 December 2005 to examine the fiscal litigations connected with the years up to the end of the year 2004, following which the litigations, that have not been adjudicated on, shall be referred as they are to the committees established according to the provisions of the attached law.

Exemptions, for which periods are determined in the said law, shall remain valid with regard to the persons for whom the exemption periods started before the effective date of the present law, until the end of those periods.

Item (1) of article (1) of law No. 147 for the year 1984 imposing the state's financial resources development duty shall be revoked.

Article : 3

Articles Nos. 16,17, 18, 19, 21, 22, 23-bis, 24, 25, and 26 of the Investment Guarantees and Incentives law as promulgated by law No. 8 of the year 1997 shall be revoked.

Exemptions as prescribed in the said articles shall remain valid with regard to companies and establishments the exemption periods of which started before the effective date of the present law, until the end of the periods determined for those exemptions.

Companies and establishments created according to the provisions of the said law without beginning the exercise of their activity or production until the effective date of the present law shall conditionally begin exercising their activity or production within a period not exceeding three years from the effective date of the present law in order to be granted the exemptions prescribed in the present law.

Article : 4

Every person shall be exempted from settling all tax amounts payable on his/her income and from all amounts of the general sales tax due on the fiscal periods before the effective date of the present law, as well as from the delay charges, fines, surtax, and others connected to such taxes, subject to the following two conditions:

First:

The person shall have not been registered previously, nor submitted a tax return, nor have been subject to any form of fiscal auditing by the General Taxation Administration or the Sales Taxation Administration;

Second:

The taxpayer shall submit his/her tax return on his/her income for the last fiscal period comprising all data related thereto, and shall apply for registration with the Sales Taxation Administration if he/she has reached the limit for registration, before the lapse of one year from the effective date of the present law.

The exemption shall abate if the taxpayer fails to submit his/her tax returns on his/her income regularly for the subsequent three fiscal periods.

Article : 5

The litigation shall abate in all actions enrolled or examined by all courts of all degrees before the 1st of October 2004 between the Taxation Administration and the taxpayers, in which the merits constitute a difference in the tax estimation, if the annual taxable base subject of the litigation does not exceed ten thousand pounds. No claim shall be filed for the unsettled taxes connected with those actions.

In all cases, abating the litigation shall not result in the taxpayer's right to retrieve the amounts settled before on account of the tax due on the taxable base subject of litigation.

The foregoing shall be valid unless the taxpayer insists on continuing the litigation in the action by means of a request to be submitted to the court before which the action is heard, within six months from the effective date of the present law.

Article : 6

In other than the actions prescribed in article-5 of the present law, the taxpayers, in the litigations existing between them and the Taxation Administration, which are enrolled in or examined by the courts of all degrees before the 1st of October 2004, may request terminating the litigations within one year from the effective date of the present law, in return for settling a percentage of the tax and the other amounts due on the annual taxable base subject of the litigation, according to the following brackets:

1- (10%) of the amount of the tax and the other amounts due on the taxable base subject of the litigation, if it does not exceed a total of one hundred thousand pounds.

2- (25%) of the amount of the tax and the other amounts due on the taxable base subject of the litigation, with regard to the portion exceeding one hundred thousand pounds up to five hundred thousand pounds of that base, after settling the percentage prescribed in item (1) with regard to the range up to and not exceeding one hundred thousand pounds of that taxable base.

3- (40%) of the amount of the tax and the other amounts due on the taxable base subject of the litigation, with regard to the portion

exceeding five hundred thousand pounds of that base, after settling the two percentages prescribed in items (1 and 2) with regard to a range up to and not exceeding five hundred thousand pounds of that taxable base.

The taxpayer's settlement of the percentages prescribed according to the previous items shall result in clearing him of the amount of the tax and the other amounts subject of the litigation, and the court shall rule terminating the litigation in the action if the taxpayer produces to the court evidence of that settlement.

In all cases, abating the litigation shall not result in the taxpayer's right to retrieve the amounts settled before on account of the tax subject of litigation.

Article : 7

In exception to the provision of article-52, item-1, of the attached law, the debit returns shall be deductible from the loans and advances that the juridical persons obtained in excess of fourfold the average equity up to and not exceeding eightfold that average for the period beginning from the fiscal year 2005 and ending with the end of the fiscal year 2009, according to the following table:

8 : 1	for the fiscal year 2005;
7 : 1	for the fiscal year 2006;
6 : 1	for the fiscal year 2007;
5 : 1	for the fiscal year 2008;
4 : 1	for the fiscal year 2009.

Article : 8

The Minister of Finance shall issue the executive regulations of the present law and of the attached law within a period of six months from the date of publication in the official journal. Pending issuance of these regulations, the regulations and decrees currently in force shall continue to apply where they do not contradict the provisions of those two laws.

Article : 9

The present law shall be published in the official journal and shall be enforced effective from the day following the date of its publication, subject to the following:

1- The provisions of the attached law shall apply with regard to the salaries and the like effective from the first day of the month following the date of its publication in the official journal.

2- The provisions of the attached law shall apply with regard to the commercial and industrial revenues, non-commercial professions' revenues, and the real estate wealth revenues effective from the fiscal period 2005 with regard to natural persons, and shall apply with regard to the profits of the juridical persons effective from the fiscal period 2005 or the fiscal period of the juridical person that begins after the effective date of the present law.

The present law shall be stamped with the seal of the state and shall be enforced as one of its laws.

Issued at the Presidency of the Republic on the 1st of Jumada I, 1426 (Islamic Calendar), corresponding to 8 June 2005 (Gregorian Calendar).

Hosni Mubarak

Income Tax Law

Book One

General Provisions

Article : 1

In applying the provisions of the present law, the following terms and expressions shall denote the meaning indicated next to each of them:

Tax:
Income tax.

Minister:
Minister of Finance.

Head of the Administration :
Head of the General Taxation Administration.

Administration:
General Taxation Administration.

Taxpayer:
Natural or juridical taxable person according to the provisions of the present law.

Associations of capital:
Joint stock companies, partnerships limited by shares, and Limited Liability companies.

Partnerships:
General partnerships, and companies in commendum.

Corporation De Facto:
Partnership established between natural persons without fulfilling the procedures of establishment or registration, with the exception of cases resulting from inheriting an individual firm.

Project:

Economic entity exercising the original activity in Egypt, or the permanent establishment in Egypt affiliated to an economic entity abroad.

Associate person:

Any person associated to a taxpayer by a relation affecting the determination of the taxable base, including:

1- The husband, the wife, the ascendants, and the descendents;

2- Associations of capital, and the person possessing, directly or indirectly, at least (50%) of the number or value of the shares, or voting rights in them.

3- Partnerships, the joint partners, and silent partners therein;

4- Any two or more companies in which a third person possesses at least (50%) of the number or value of the shares or voting rights in each of them.

Neutral Price:

Price on the basis of which dealing takes place between two or more non-associated person, and it is determined according to the market forces and conditions of dealing.

Royalties:

Amounts paid, whatever their kind, against using or the right to use the copyrights concerning a literary, artistic or scientific work, including movies, and any patent, trade mark, design, pattern, plan, secret formula or process, or against using or the right to use industrial, commercial, or scientific equipment, or information connected with industrial, commercial, or scientific expertise.

Article : 2

In applying the provisions of the present law, the natural person shall be residing in Egypt in any of the following cases:

1- If he has a permanent domicile in Egypt;

2- The person residing in Egypt for a period of more than 183 continuous or intermittent days within twelve months.

3- An Egyptian who performs the duties of his position abroad and obtains his income from an Egyptian treasury.

The juridical person shall be a resident in Egypt in any of the following cases:

1- If it is established according to the Egyptian Law;
2- If its main or actual headquarters is in Egypt;
3- If it is a company in which the state or one of the public juridical persons possesses more than (50%) of its capital.

The executive regulations of the present law defines the rules of determining the permanent domicile and the actual headquarters.

Article : 3

The income realized from a source in Egypt shall comprise the following:

A) The income from services performed in Egypt, including the salaries and the like;

B) The income paid by an employer residing in Egypt, even if the work is performed abroad;

C) The income obtained by a sportsman or an artist from the activity he/she exercises in Egypt;

D) The income from works performed by a non-resident through a permanent establishment in Egypt;

E) The income from disposal of movables concerning a permanent establishment in Egypt;

F) The income from using and disposing of realties and the like existing in Egypt and the realties annexed to them by appropriation;

G) Distributions made on shares of associations of capital residing in Egypt;

H) Profit shares paid by a partnership residing in Egypt;

I) The yield paid by the government, the local government units, the public juridical persons, or any person residing in Egypt, and the yield settled by a permanent establishment in Egypt even if its owner does not reside in it;

J) The rental amounts, license fees, and royalties paid by a person residing in Egypt or by a permanent establishment in Egypt even if its owner does not reside in it;

K) The income from any other activity performed in Egypt.

Article : 4

A permanent establishment, in applying the provisions of the present law, shall mean every fixed place of work through which all or some works of projects of a person not residing in Egypt are executed, and comprising in particular the following:

A) The headquarters;
B) The branch;
C) The building used as sale outlet;
D) The Office;
E) The factory;
F) The workshop;
G) The mine, the oilfield or gas well, the quarry, or any other place for extraction of natural resources, including timber, or any other product from the forests;
H) The farm or saplings;
I) The site of the building, the construction or assembly project, the installation, or the supervisory activities associated with any of that.

A person working on account of a subsidiary project shall be considered as good as a permanent establishment, once he has the power to conclude and ratify the contracts in the name of the project unless the aspects of his activity are limited to purchasing the commodities or goods for the project.

The following shall not be considered a permanent establishment:

1- Using the facilities concerning storage purposes, and displaying the goods and commodities exclusively owned by the project.

2- Keeping a stock of commodities or goods owned by the project for storage or display purposes.

3- Keeping a stock of commodities and goods owned by the project for the purpose of reprocessing them only by means of another project.

4- Keeping a fixed place for an activity exercising only the purchase of goods or commodities, or gathering information for the project;

5- Keeping a fixed place for an activity exercising only the performance of any work qualified as preparatory or auxiliary to the project;

6- Keeping a fixed place for work at which any group of the activities referred to in the previous items are exercised, providing the overall activity of the fixed place for work which results from the group of those activities is qualified as preparatory or auxiliary exclusively.

7- The industrial or commercial works performed by a foreign company through a broker or general commission agent, or through any other agent of independent nature, unless this broker or agent is proved to have dedicated most of his time or effort during the fiscal period in the interest of the foreign company.

A non-resident company's control over another resident company shall not mean that the resident company becomes a permanent establishment for the other one.

Article : 5

The fiscal period is the financial year that begins on the first of January and ends on 31 December of each year or any period of twelve months taken as a basis for tax calculation.

The tax may be calculated for a period less than or more than twelve months. The executive regulations of the present law shall determine the audit procedures for this period.

The tax shall be payable on the day following the end of the fiscal period. It shall be payable upon the taxpayer's decease, cessation of his residence, or total suspension of exercising the activity.

Book Two

Income Tax on Natural Persons

Part –1

Range Of The Tax And Its Rate

Article : 6

An annual tax shall be imposed on the total net income of natural persons, resident, and non-resident, with regard to their incomes realized in Egypt.

The total net income shall be composed of the following sources:

1- Salaries and the like;
2- Commercial or industrial activity;
3- Vocational or non-commercial activity;
4- Real estate wealth.

Article : 7

The tax shall be payable on the excess of five thousand pounds of the total net income realized by the resident taxpayer during the year.

Article : 8

The tax rates shall be as follows:

First bracket:

More than 5,000 pounds up to 20,000 pounds (10%)

Second bracket:

More than 20,000 pounds up to 40,000 pounds (15%)

Third bracket:

More than 40,000 pounds (20%)

The annual total net income shall be rounded, when calculating the tax, up to the nearest less ten pounds.

Part –2

Salaries And The Like

Article : 9

The tax shall apply to salaries and the like as follows:

1- All earnings due to the taxpayer resulting from his/her work with third parties with or without a contract, periodically or non-periodically, whatever the names, forms or reasons of those earnings, and whether they are for works performed in Egypt or abroad and paid by a source in Egypt, including wages, remunerations, incentives, commissions, grants, overtimes, allowances, shares and portions in profits, as well as the monetary privileges and allowance in-kind of all types;

2- Earnings due to the taxpayer from a foreign source for works performed in Egypt;

3- Salaries and remunerations of chairmen and members of the boards of directors in the public sector companies and the public business sector companies, who are not shareholders;

4- Salaries and remunerations of chairmen, members and directors of the boards of directors in the associations of capital in return for their administrative work;

The executive regulations of the present law shall determine the bases of estimating the value of the allowance in-kind.

Article : 10

The revenues included in the taxable base for every part of the year, in which any of the taxable revenues was obtained, shall be determined in the ratio of its period to one year and on basis of the monthly revenue after transforming it into an annual revenue.

In case a change occurs in the taxable revenue, the calculation of that revenue shall be modified from the date of the change on basis of the new or the old revenue, whichever is less, after transforming it into an annual revenue. Each year, a settlement shall be made according to the procedures and rules to be determined in the executive regulations of the present law.

The frozen salaries, wages, and the like that are paid all at one time in a certain year shall be distributed on the years of accrual, with the exception of the leave payments. The revenue included in the taxable base shall be recalculated for each year, and the due tax shall be settled on that basis.

Article : 11

In exception to the provisions of article-8 of the present law, the tax shall apply to all the amounts paid to the non-residents whichever is the entity or organization employing them for performing services under its supervision. The tax shall also apply to the amounts obtained by the residents from other than their original work places at a rate of (10%) without any reduction for facing the costs and without making any other deduction.

In all cases, the tax shall be held and delivered to the concerned Taxation Administration within the first fifteen days of each month according to the rules and procedures to be determined in the executive regulations of the present law.

Article : 12

The following shall not be taxable:

1- Pensions;
2- Severance pay.

Article : 13

Subject to the other tax exemptions prescribed in special laws, the following shall be exempted from the tax:

1- An amount of 4,000 pounds, an annual personal exemption for the taxpayer;

2- Social insurance and other contributions to be deducted according to the provisions of the social insurance laws or any other alternative systems;

3- Employees' contributions to the private insurance funds established according to the provisions of the Private Insurance Funds Law as promulgated by law No.54 for the year 1975;

4- Premiums of Life and health insurance on the taxpayer in his favor or in favor of the spouse or minor children, and any insurance premiums for pension entitlement;

5- The following collective allowance in-kind:
   a) Meals distributed to the workers;
   b) Collective transportation of workers or equivalent transportation cost;
   c) Health care;
   d) Tools and uniforms necessary for performing the work;
   e) Tenements provided by the employer to the workers for performing their work;

6- Workers' share in the profits to be distributed according to the law;

7- All that is obtained by members of the diplomatic and consular corps, the international organizations, and other foreign diplomatic representatives within the context of their official work, conditional upon reciprocity of treatment and within the limits of that treatment.

With regard to items (3 and 4), it is stipulated that the total exemption accorded to the taxpayer shall not exceed 15% of the net income or three thousand pounds, whichever is more, and the same contributions and premiums shall not be re-exempted from any other income prescribed in article-6 of the present law.

Article : 14

Employers and those committed to pay the taxable revenues, including the companies and projects established under the free zones system, shall retain from the amounts they are bound to pay out of those

prescribed in article (9) of the present law, an amount on account of the tax payable according to the percentage to be determined in the executive regulations of the present law. They shall deliver to the concerned tax district office within the first fifteen days of each month the amounts retained out of the payments made in the previous month.

The employers and those committed to pay the revenue shall settle the due tax differences, subject to their right to claim from the taxpayer the debt he owes.

Article : 15

The person in charge of retaining the tax and delivering it according to article (14) of the present law shall observe the following:

1- Submit a quarterly tax return to the concerned tax district office in January, April, July and October of each year on the form provided for the purpose;

2- Give the worker, at his/her request, a statement showing his full (first, middle, last) name, the amount and kind of the income, and the value of the retained tax.

The executive regulations shall indicate the rules and procedures of implementing the provisions of this article.

Article : 16

If the employer or that person committed to pay the taxable revenue is non-resident in Egypt, or has no center or establishment in it, the obligation to deliver the tax shall be undertaken by the person to whom the taxable revenue is payable according to the rules and procedures to be determined in the executive regulations of the present law.

Part –3

Commercial And Industrial Activity

Article : 17

The commercial and industrial activity profits shall be determined on basis of the revenue resulting from all commercial and industrial operations, including the profits resulting from selling the assets of the establishment as prescribed in items (1, 2 and 4) of article (25) of the present law, the profits realized from the compensations obtained by the taxpayer as a result of the deterioration or seizure of any of those assets as well as the liquidation profits realized during the fiscal period, all that after deducting all deductible costs.

The net profit shall be determined on basis of the income statement prepared according to the Egyptian Accounting Standards, and the taxable base shall be defined by applying the provisions of the present law on the said net profit.

Article : 18

A decree of the Minister shall be issued determining the rules and bases of tax accounting and the procedures of collecting the tax on profits of small establishments, which shall not contradict the provisions of the Small Establishments Development Law as promulgated by law No. 141 for the year 2004, in a manner conforming with their nature and facilitating the method of their tax treatment.

Chapter - 1
Taxable Revenues

Article : 19

The tax shall apply to the commercial and industrial activity profits, including:

1- Profits of commercial or industrial establishments, and the mines, quarries and petroleum establishments;

2- Profits of small crafts and activities owners;

3- Profits realized from any commercial or industrial activity, even if it is limited to one transaction. The executive regulations of the present law shall indicate the rules concerning what is considered one transaction in applying the provisions of the present item;

4- Profits realized as a result of the transaction(s)carried out by brokers or commission agents, and in general all profit realized by any person engaged in brokerage works for purchase, sale or lease of realties, or any kind of commodities, services or movable values;

5- Profits realized from renting a commercial or industrial store whether the rental comprises all or some of its physical or moral elements, and the profits realized from renting mechanical and electrical machines, with the exception of agricultural tractors, irrigation machines and their auxiliaries, as well as the machines and equipment used in agriculture;

6- Profits of all kinds of transport activity;

7- Profits realized by those exercising the construction or purchase of realties for their account, for the purpose of selling them as a profession whether the profit results from selling the realty, wholly or divided into apartments, rooms, administrative or commercial units, or otherwise;

8- Profits resulting from land apportionment operations for disposal thereof or building thereon;

9- Profits of the land reclamation or cultivation establishments, projects of exploiting poultry breeding pens, or hatching them automatically, and folds for domestic animals and cattle breeding and fattening, with a capacity of more than twenty heads, and projects of fisheries.

Article : 20

The tax shall not apply to the profits resulting from revaluating the assets of the individual establishment on presenting them as an in-kind

portion against contributing to the capital of a joint stock company, providing the shares against the in-kind portion shall be nominal shares and they shall not be disposed of before the lapse of five years.

Article : 21

The taxable net profit of the establishment shall be determined on all long-term contracts it is committed to, on the basis of the percentage executed of each contract during the fiscal period.

The percentage of the portion executed of each contract shall be determined on basis of the ratio of the actual cost of works executed up to the end of the fiscal period to the estimated total costs of the contract.

The estimated profit of the contract shall be the difference between its value and its estimated costs.

The contract estimated profit during each fiscal period shall be a percentage of the profit estimated according to the previous clause equivalent to the percentage of the portion of work executed during the fiscal period, providing the profit of the contract at the end of the fiscal period, during which the execution of the contract is completed, shall be settled on the basis of its actual revenues from which the actual costs shall be deducted after subtracting the previously estimated profits.

If the account of the fiscal period, during which the execution of the contract completed, has ended up with a loss, such loss shall be deducted from the profits of the previous fiscal period(s) during which the contract is determined to be executed, providing the deducted loss shall not exceed profits of the contract during that period, and the tax shall be recomputed on that basis, and the taxpayer shall get a back pay of the tax settled in excess thereof.

If the loss resulting from the execution of the contract exceeds the limits referred to in the previous clause, the remainder of the loss shall be carried forward to the following years according to the provisions of article-29 of the present law.

In applying the provisions of the present article, the long-term contract shall denote the contract of manufacture, preparation, construction, or performance of services connected therewith, which is executed by the

establishment for account of third parties on basis of a determined value, and its execution shall take up more than one fiscal period.

Chapter - 2
Determining The Revenues Included In The Taxable Base

Article : 22

The taxable net commercial and industrial profits shall be determined on basis of the total profit after deducting all costs and expenses necessary for realizing those profits. The deductible costs and expenses shall conditionally fulfill the following requirements:

1- They shall be connected with the commercial or industrial activity of the establishment and necessary for exercising that activity;

2- They shall be true and supported documentarily, with the exception of the costs and expenses that are not customarily established by documents.

Article : 23

The following, shall particularly, be considered among the deductible costs and expenses:

1- Interests on loans employed in the activity whatever their value, after deducting the non-taxable or legally tax-exempted credit interests;

2- Depreciation of the establishment assets, as prescribed in article (25) of the present law;

3- Duties and taxes borne by the establishment except the tax payable by the taxpayer according to the present law;

4- Social insurance premiums payable by the owner of the establishment in favor of the workers and in his own favor, which are settled to the National Social Insurance Authority;

5- Amounts that the establishments deduct annually from its funds or profits, up to and not exceeding 20% of the total salaries and wages of the workers, on account of the private saving, provident, pension

funds, or others, whether these funds are established according to the provisions of the Private Insurance Funds Law No. 54 of the year 1975 or law No. 64 for the year 1980 concerning the alternative private social insurance systems, or established according to a system having special regulations or conditions, providing the system that the establishments are committed to apply shall have special regulations or conditions in which it is prescribed that the contributions paid by these establishments shall be as good as the severance pay or pension and that the funds of that system are separate or independent from the establishment's funds and are invested for its special account;

6- Premiums of Insurance that the taxpayer concludes against his disability or decease, or for obtaining an amount or revenue providing the value of premiums shall not exceed three thousand pounds a year;

7- Donations paid to the government, local administrative units and other public juridical persons whatever their value;

8- Donations and aids as paid to the Egyptian non-governmental societies and institutions registered according the provisions of their regulating laws, the educational institutions and hospitals that are subject to governmental supervision, and the Egyptian scientific research institutions, providing they shall not exceed 10% of the annual net profit of the taxpayer;

9- Financial penalties and indemnifications payable by the taxpayer as a result of his contractual liability.

Article : 24

The following shall not be considered among the deductible costs and expenses:

1- Reserves and appropriations of all different types;

2- Financial fines and penalties, as well as indemnifications ruled against the taxpayer because he or one of his subordinates has committed a deliberate felony or misdemeanor;

3- Income tax payable according to the present law;

4- Interests settled on loans, which exceed twofold the credit and discount rates announced by the Central Bank, at the beginning of the Gregorian year in which the fiscal period ends;

5- Interests on loans and debts of all different kinds, as paid to non-taxable or tax-exempted natural persons.

Article : 25

Calculating the deprecations of the establishment assets shall be as follows:

1- Five per cent (5%) of the cost of purchase, establishment, development, renovation or reconstruction of any of the buildings, establishments, installations, ships and aircraft for each fiscal period;

2- Ten per cent (10%) of the cost of purchase, development, improvement or renovation of any of the intangible assets to be purchased, including the goodwill of the activity, for each fiscal period;

3- The two categories herebelow of the establishment assets shall be depreciated according to the depreciation basis method at the rates indicated next to each of them:

A) Computers, information systems, software and data storage sets: 50% of the deprecation basis for each fiscal year;

B) All other assets of the activity: 25% of the depreciation basis for each fiscal year.

4- No depreciation shall be calculated for the land, artistic and antiquities works, jewelry and the other assets of the establishment that are non-depreciable by nature.

Article : 26

The depreciation basis, in applying the provisions of article-25 of the present law, shall mean the book value of the assets as recorded in the opening balance sheet of the fiscal period. This basis shall increase by the equivalent of the cost of the used assets and the cost of development,

improvement, renovation or reconstruction during the fiscal period. The depreciation basis shall decrease by the equivalent of the value of annual depreciation and the sale value of assets that are disposed of as well as the value of the indemnification as a result of their loss or depreciation during the fiscal period.

If the depreciation basis is negative, the value of disposal or indemnification of the asset shall be added to the taxpayer's commercial and industrial profits. If, however, the depreciation basis does not exceed ten thousand pounds, the depreciation basis shall be wholly considered among the deductible costs.

Article : 27

The equivalent of 30% shall be deducted from the cost of the value of machines and equipment used in investment in the field of production, whether they are new or used, in the first fiscal period during which those assets are employed.

The depreciation basis prescribed in article-25 of the present law for that period shall be calculated after deducting the said 30%.

For applying the provisions of the previous two clauses, the taxpayer shall conditionally keep regular books and accounts.

Article : 28

Deduction of the bad debts, that the taxpayer excludes from the books and accounts of the establishment, shall be allowed if he/she submits a report from one of the accountants recorded in the list of accountants and auditors indicating the fulfillment of the following conditions:

1- Existence of regular accounts with the establishment;

2- The debt is connected with the activity of the establishment;

3- Previously including the debt countervalue amount within the accounts of the establishment;

4- The establishment shall have taken serious procedures for settlement of debt and has been unable to collect it after eighteen months from its due date.

The following shall be considered among the serious procedures for settlement of the debt:

a) Obtaining a warrant for payment in the cases this is admissible;

b) Issue of a judgment by a court of first degree binding the debtor to settle the value of the debt;

c) Claiming the debt within the procedures of executing the judgment declaring the debtor bankruptcy or the ruling binding him to conclude a composition.

If the debt, or part of it, is collected, the collected amount shall be included within the revenues of the establishment in the year during which the amount is collected.

Article : 29

If the account of one year is closed with a loss, such loss shall be deducted from the profits of the following year. If part of the loss remains after that, it shall be carried forward annually to the following years until the fifth year, after which nothing of the loss shall be carried forward to another year's account.

Article : 30

If the associate persons set conditions in their commercial or financial dealings different from the conditions taking place between non-associate persons, which are liable to reduce the tax base or transfer its burden from a taxable person to another tax-exempted or non-taxable person, the Administration may determine the taxable profit on basis of the neutral price.

The head of the Administration may conclude agreements with associate persons on following one or more methods for determining the neutral price in the Administration's dealings.

The executive regulations of the present law shall determine the methods of determining the neutral price.

Chapter - 3
Exemptions

Article : 31

The following shall be exempted from the tax:

1- Profits of the land reclamation or cultivation establishments for a period of ten years effective from the date of beginning the exercise of activity;

2- Profits of establishments of poultry production, bees breeding, cattle breeding and fattening pens, and fisheries projects, as well as profits of trawlers projects, for a period of ten years from the date of beginning the exercise of activity;

3- Yield of the natural persons' dealing in their investments in securities listed in the Egyptian Stock Exchange along with non-permitting the deduction of losses resulting from this dealing or carrying them forward to the following years;

4- All that the natural persons obtain as represented in:

- Interests of all kinds of debentures and finance bonds listed in the Egyptian Stock Exchange, which are issued by the government or associations of capital;
- Dividends of the shares of the capital of the joint stock companies and partnerships limited by shares;
- Dividends of the shares of the capital of limited liability companies, partnerships, and non-shareholder partners in joint stock companies, and partnerships limited by shares;
- Dividends of the investment securities issued by the investment funds.

5- Returns obtained by the natural persons from deposits, saving accounts in the banks registered in the Arab Republic of Egypt, the

investment, saving and deposit certificates issued by these banks, as well as the deposits and saving accounts in postal saving banks, and the securities and deposit certificates issued by the Central Bank;

6- Profits realized from the new projects established by finance from the Social Fund for Development within the limits of the ratio of this finance for a period of five years from the date of beginning the exercise of activity or beginning the production, according to each case. This exemption shall not apply except to the profits of that who concluded the fund loan in his name.

Part – 4

Non-Commercial Professions Revenues

Chapter - 1
Taxable Revenues

Article : 32

The Tax shall be imposed on:

1- Net revenues of free professions and other non-commercial professions exercised by the taxpayer independently, in which work constitutes the basic element, if these revenues result from exercising the profession or activity in Egypt;

2- Income obtained by intellectual property rights holders from the sale of or investment in their rights;

3- Any revenues resulting form any profession or activity non-prescribed in article-6 of the present law.

Chapter - 2
Determination of Revenues Included In The Taxable Base

Article : 33

The revenues included in the taxable base shall be determined annually on basis of the net revenues during the previous year. Revenues from non-commercial professions shall comprise the yields of disposing of any professional assets, and yields of transferring the know-how or relinquishing the profession exercise offices, wholly or partially, and any amounts collected as a result of closing down the office.

Determining the net revenues shall be on basis of the revenue resulting from the different transactions, according to the provisions of the present law, after deducting all costs and expenses necessary for exercising the profession including the deprecations of assets, which shall all be

according to simplified accounting standards to be issued by decree of the minister.

The following shall be considered among the deductible costs:

1- The registration fees, the annual contributions, and the fees for exercising the profession;

2- The taxes settled by the taxpayer in the course of exercising the profession, with the exception of the tax he pays according to the provisions of the present law;

3- The amounts settled by the taxpayer to his association according to its pensions scheme;

4- The premiums of life insurance and health insurance on the taxpayer in his own favor and in favor of his spouse and minor children.

In applying the provisions of items (3 and 4), the total tax-exempted portion for the taxpayer from his/her net taxable revenue shall not exceed three thousand pounds annually.

This deduction shall not be repeated from any other income prescribed in article (6) of the present law.

Article : 34

Donations that are granted or devolve to the government, the local government units, and the public juridical persons shall be deducted from the net revenues prescribed in article (32) of the present law, within and not exceeding the annual net revenue, as well as the donations and aids extended to the Egyptian non-governmental organizations registered according to the provisions of the laws organizing them, and to the educational establishments and hospitals that are subject to supervision by the government, as well as to the Egyptian scientific research institutions, providing this shall not exceed 10% of the annual net revenue.

The same donations shall not be deducted from any other revenue of those prescribed in article-6 of the present law.

Article : 35

All costs and expenses necessary for realizing the revenue shall be deducted from the total revenue of the taxpayer, based on the regular documentarily supported accounts, including the costs and expenses that are not customarily supported by documents, and as determined by the executive regulations of the present law. The deduction shall be at the rate of 10% in case of non-holding regular books.

In applying the provisions of the present part, the provision of article-29 of the present law shall apply if the taxpayer holds regular books.

Chapter - 3
Tax Exemption

Article : 36

The following shall be exempted from the tax:

1- The educational establishments placed under the supervision of the government, the public juridical persons or the public sector or the public business sector.

2- Revenues from writing and translating religious, scientific, cultural and literary books and articles, with the exception of the revenues resulting from the sale or translation of the book for producing it in a visual or audio form.

3- Revenues of members of the teaching staff in the universities, institutes and others as realized from their books and compilations which are primarily printed for distribution to the students according to the systems and prices to be set by the universities and institutes.

4- Revenues of members of the plastic artists association from the production of works of photography, sculpture and carving arts.

5- Revenues of the free professionals that are registered as active members of trade unions in their field of specialization for a period of three years form the date of exercising the free profession. They shall not pay the said tax except from the beginning of the month following the lapse of the said exemption period to which is added the training

period required by the law on the exercise of the profession, and the public service, or conscription or reserve call up periods, if they come subsequent to the date of starting the exercise of the profession. The period prescribed for exemption shall be reduced to one year for any person exercising the profession for the first time if more than fifteen years have lapsed since his graduation. For the tax exemption to apply, he shall exercise the profession alone without participation by a third party, unless that third party is enjoying this exemption.

Part – 5

Revenues Of The Real Estate Wealth

Chapter -1
Taxable Revenues

Article : 37

The taxable revenues shall comprise the following:

1- Revenues of agricultural lands;
2- Revenues of built realties;
3- Revenues of furnished units.

Chapter - 2
Determination of Revenues Included In the Taxable Base

Article : 38

1- The revenue of agricultural lands shall be determined on basis of the rental value taken as a basis for assessing the tax imposed according to the rules prescribed in law No. 113 for the year 1939 concerning the land tax, after deducting 30% for all costs and expenses.

2- Revenues of agricultural exploitation of horticultural crops coming from fruit plantations cultivated on an area exceeding three feddans, and from ornamental, medicinal, and aromatic plantations cultivated on an area exceeding one feddan, as well as from the nurseries of horticultural crops cultivated on whatever area - unless such nurseries are established for their owners' personal benefit - shall be determined on basis of the similar rental value taken as a basis for assessing the tax imposed by virtue of the aforesaid law No. 113 of the year 1939, in case the owner of the saplings is a tenant of the land. If the owner of the saplings is the owner of the land, the revenues shall be determined on basis of twice the said rental value. The revenues prescribed in item-1 of the present article shall not be included in the taxable base.

These taxable bases shall all be determined after deducting 20% of these revenues in consideration of all costs and expenses involved.

A decree of the minister shall be issued in agreement with the Minister of Agriculture determining the ages of fruit trees following which the fruits trees shall be considered productive, and indicating the types of horticultural crops.

The taxable net revenues shall be determined in the name of the owner of the saplings whether he is the owner or tenant of the land. All agreement or condition contrary to the foregoing shall not apply vis-a-vis the Administration.

The taxpayer, his spouse, and his minor children shall be considered one owner of the saplings in applying the provisions of item (2) of the present article. The revenues shall be determined in his name unless the ownership has devolved to the wife or minor children from a source other than the husband or the father, according to each case.

The owner of the saplings, whether he is the owner or tenant of the land shall submit to the concerned tax district office statements of the cultivated areas of each type of the fruit trees, within thirty days from the date on which the fruit trees are considered productive. He shall also submit a statement of the areas cultivated with ornamental, medicinal or aromatic plants, or nurseries of horticultural crops within sixty days from the date of beginning the cultivation.

In case of removing the saplings, the owner shall notify the concerned tax district office of the removal incident within thirty days from its occurrence.

Article : 39

The revenues from built realties shall be determined based on the total rental value taken as a basis for assessing the tax on built realties as imposed by virtue of law No. 56 of the year 1954 concerning the tax on built realties, after deducting 40% in return for all costs and expenses, in addition to the rental value of the personal lodging in which the taxpayer lives together with his family. The revenues resulting from determining the usufruct shall be treated same as the revenues resulting from properties that are owned completely by the taxpayer.

The taxable revenue shall be determined on basis of the actual rental value after deducting 50 percent therefrom in return for all costs and expenses, concerning the revenues resulting from renting any realty or part of it according to the provisions of the Civil Code.

Article : 40

The taxpayer may request determining the revenues from the real estate wealth prescribed in article 38, and clause-1 of article 39 of the present law, on basis of the actual revenue, providing the request shall comprise all agricultural properties and built realties of the taxpayer.

The request shall be submitted within the period determined for submitting the annual tax returns, and the taxpayer shall hold regular books as indicated in the executive regulations of the present law.

Article : 41

The tax shall apply to the revenues resulting from the rental of any furnished unit or part thereof whether it is prepared for dwelling, or for exercising a commercial or industrial activity or a free non-commercial profession, or for any other purpose.

The taxable revenue shall be determined on basis of the actual rental value after deducting 50% therefrom in return for all costs and expenses involved.

Article : 42

A tax shall be imposed at the rate of 2.5% without any reduction on the total revenues resulting from disposal of the built realties or lands within the cordon of towns, whether they are disposed of as they are or after building establishments on them, whether such disposal comprises the realty as a whole or part thereof or a dwelling unit of it, or otherwise, and whether the establishments are built on lands owned by the taxpayer or third parties.

The legatee's disposal of the realties devolving to him from the legator in their condition as inherited shall be excluded from the disposals that are subject to that tax. Offering the realty as a corporeal share in the

capital of joint stock companies shall be also excluded from such disposals, providing the shares representing the value of such realty shall not be disposed of for a period of five years.

The real estate registration offices shall notify the Administration of registering the disposals that are taxable according to the provisions of the present law, within thirty days from the date of registration.

In applying the provision of the present article, the disposal of assets by way of bequest to non-ascendants, spouses, or descendants, and the determination of usufruct of a realty or renting it for more than fifty years, shall be considered a taxable disposal. The forced sales whether administrative or judicial, and the expropriation or seizure for the public interest or improvement, shall not be considered a taxable disposal. Disposals by way of donation or gift to the government, the local government units, the public juridical persons or the public-interest projects shall not be considered taxable disposals.

Chapter - 3
Tax Exemption

Article : 43

The following shall be exempted from the tax :

1- Revenues of the agricultural activity with the exception of what is prescribed in the present law;

2- Revenues of cultivated areas in the desert lands for a period of ten years starting from the date on which the land is considered productive. A decree of the minister shall be issued in agreement with the Minister of Agriculture concerning the guide standards for determining the date on which the land shall be considered productive.

Chapter - 4
Miscellaneous Provisions

Article : 44

Whoever owns one or more built realties or cultivated lands, the net revenue of which exceeds their rental value prescribed in item-1 of article

(38) and clause (1) of article (39) of the present law with regard to the exempted bracket prescribed in article (7) thereof, shall submit a statement of all built realties and cultivated lands he owns and their rental value to one of the collection offices concerned with collecting the tax on built realties and cultivated lands in whose circle any of the said realties are located, on the form to be determined by the executive regulations of the present law.

Article : 45

The original real estate taxes imposed by law No. 113 for the year 1939 concerning the land tax, and law No. 56 for the year 1954 concerning the tax on built realties, as settled by the taxpayer, shall be deducted according to each case from the tax due on him pursuant to the provisions of Book (2), Part (5) of the present law within the limits of and not exceeding the value of that tax.

Article : 46

The provisions of articles (38 and 39) of the present law shall not apply to the agricultural lands and built realties that are included within the assets of the establishment or the company.

Book Three

Tax on profits of Juridical Persons

Part – 1

Range Of Tax Enforcement

Article : 47

An annual tax shall be imposed on the total net profits of juridical persons whatever their purposes.

The tax shall apply to the following:

1- Juridical persons resident in Egypt, with regard to all profits they realize whether from Egypt or from abroad, with the exception of the national service projects agency at the Ministry of Defense;

2- Juridical persons non-resident in Egypt with regard to the profits they realize through a permanent establishment in Egypt.

Article : 48

In applying the provision of article (47) of the present law, the following shall be considered juridical persons:

1- Associations of capital and partnerships whatever the law they are subject to, as well as the corporations de facto;

2- Cooperative societies and their unions subject to the exemptions prescribed for them by virtue of the law;

3- Public authorities and other public juridical persons with regard to the taxable activity they exercise subject to the exemptions prescribed in the laws establishing them;

4- Foreign banks, companies and establishments even if their head offices are abroad and their branches are in Egypt;

5- The units established by the local government with regard to the taxable activity they exercise.

Article : 49

The taxable base shall be rounded up to the nearest less ten pounds and shall be subject to the tax at a rate of 20% of the annual net profits.

In exception to the rate mentioned in the previous clause, the profits of the Suez Canal Authority, the Egyptian Petroleum Authority, and the Central Bank shall be taxable at a rate of 40%. The profits of oil and gas exploration and production companies shall also be taxable at a rate of 40.55%.

Article : 50

The following shall be exempted from the tax:

1- The ministries and government administrations;

2- The educational establishments subject to the state's supervision, which are primarily non-profit seeking;

3- Non-governmental organizations established according to the provisions of the Non-governmental Organizations Law as promulgated by law No. 84 for the year 2002, within the limits of the purpose for which they are established;

4- Non-profit seeking entities that are exercising activities of social, scientific, sporting or cultural nature within the limits of the activity exercised by them with no commercial, industrial or professional quality;

5- Profits of private insurance funds that are subject to the provisions of law No. 54 for the year 1975;

6- The international organizations, technical cooperative authorities and their representatives the exemption of which is provided for by an international convention;

7- Profits and dividends of the investment funds established according to the Capital Market Law as promulgated by law No. 95 for the year 1992 and the interest of bonds that are listed in the official tables of the Stock Exchange;

8- Income from dealings as obtained by resident juridical persons from their investments in securities listed in the Egyptian Stock Exchange along with non-deducting the losses resulting from that dealings or carrying them forward to following years;

9- Interests as obtained by the juridical persons on securities issued by the Central Bank of Egypt or the revenues resulting form dealing in them, in exception to the provision of article-56 of the present law;

10- Dividends, profits and shares obtained by resident juridical persons against their contributions to other resident juridical persons;

11- Profits of land reclamation or cultivation companies for a period of ten years from the date of starting the exercise of the activity or beginning the production, according to each case, according to the rules to be determined in the executive regulations of the present law;

12- Profits of poultry production, bees breeding, cattle breeding and fattening pens companies, and fisheries companies for a period of ten years from the date of beginning the exercise of activity.

Part – 2

Determination Of The Taxable Income

Article : 51

The net taxable income shall be determined according to the provisions applicable to the profits of the commercial and industrial activity prescribed in Book (2), Part (3) of the present law, where no special provision is prescribed in this Part.

Article : 52

The following shall not be considered within the deductible costs:

1- The debit interests paid by the juridical persons prescribed in article (47) of the present law on the loans and advances obtained by them in excess of fourfold the property rights average according to the financial statements to be prepared pursuant to the Egyptian Accounting Standards. This provision shall not apply to the banks and insurance companies as well as the companies exercising the finance activity that are to be determined by a decree to be issued by the minister;

2- Amounts set aside toward forming or feeding all kinds of appropriations, with the exception of the following:

   a) 80% of the loans appropriations which the banks are committed to form according to the rules of drawing up the income statements and the bases of evaluation as issued by the Central Bank;

   b) The technical appropriations which the insurance companies are committed to form by applying the provisions of the Law on Insurance Supervision and Control in Egypt as promulgated by law No.10 for the year 1981;

3- The profit shares and distributed dividends, and the attendance fees paid to the shareholders for attending the general assembly`s meetings;

4- Membership remuneration and allowances obtained by the chairmen and members of the boards of directors;

5- Workers profit share to be distributed according to the law;

6- The other costs prescribed in article (24) of the present law.

Article : 53

In case of changing the legal form of one or more juridical persons, the capital profits or losses resulting from the re-evaluation shall not be included in the profit and loss account, providing the assets and liabilities shall be recorded with their book value at the time of changing the legal form for the purpose of tax calculation. Calculating the assets depreciation and carrying forward the appropriations and reserves shall take place according to the rules prescribed before carrying out that change.

The following shall particularly be considered a change of the legal form:

1- Merger of one or more resident companies;

2- Division of a resident company into two or more resident companies;

3- Transformation of a partnership into an association of capital, or of an association of capital into another association of capital;

4- Purchase or possession of 50% or more of the shares or voting rights, whether in terms of the number or value, in a resident company, against shares in the purchasing or possessing company;

5- Purchase or possession of 50% or more of the assets and liabilities of a resident company by another resident company against shares in the purchasing or possessing company;

6- Transformation of a juridical person into an association of capital.

Article : 54

The foreign tax paid by a resident company on its profits which are realized abroad shall be deducted from the tax payable by it according to the provisions of the present law, conditional upon submitting the relevant supporting documents.

Losses incurred abroad shall not be deducted from the taxable base in Egypt for the same fiscal period or any other subsequent period.

The deduction prescribed in the first clause shall not exceed the tax payable in Egypt, which might have possibly been payable on the profits realized from works abroad.

Article : 55

The provision of article (29) shall not apply to the losses sustained by the company in the fiscal period and the previous periods if a change occurs in the ownership of its capital exceeding 50% in the shares or stocks, or in the voting rights, providing this shall be accompanied by a change of the activity.

For the provision of the previous clause to apply to the joint stock companies and the companies limited by shares, their shares shall not be circulated in the Egyptian Stock Exchange.

Book Four

Tax withheld at Source

Article : 56

Amounts paid to non-residents in Egypt by owners of individual establishments, juridical persons resident in Egypt, and by non-resident entities having a permanent establishment in Egypt shall be taxable at a rate of 20% without deducting any costs from them.
These amounts shall comprise the following:

1- Yields and interests;

2- Royalties, except the amounts paid abroad against a design or know-how for serving the industry. The minister, in agreement with the minister concerned with industry, shall determine the cases in which the know-how is for serving the industry;

3- Charges for services. The share of the permanent establishment operating in Egypt in the administrative expenses, and in the control and supervision expenses sustained by its head office abroad shall not be considered among the charges for services;

4- Charges for the activity of a sportsman or artist, whether paid direct to him or through any entity.

The interests on loans and credit facilities obtained by the government, local government units, or other public juridical persons, from sources abroad shall be exempted from the tax prescribed in the present article. Companies of the public sector, the public business sector, and the private sector shall also be exempted from this tax providing the loan or facility period shall be three years at least.

The said establishments, persons and entities shall withhold the amount of the due tax and deliver it to the concerned tax district office within the subsequent fifteen days of the month following the month in which the withholding is made.

Article : 57

The amounts paid by the individual establishments and juridical persons to any natural person by way of commission or brokerage shall be taxable as long as they are non-connected with exercising his profession.

The payer of the commission or brokerage shall withhold the amount of the due tax and deliver it to the concerned tax district office to which it is affiliated within the first fifteen days of the month following the month in which the commission or brokerage were paid according to the rate prescribed in article-56 of the present law, without deduction of any costs.

Article : 58

Subject to the tax exemptions prescribed in other laws, the yield of bonds issued by the Ministry of Finance in favor of the Central Bank or other banks shall be taxable at a rate of 32% without deduction of any costs. The payer of this yield or the one obtaining it shall withhold the amount of the due tax and deliver it to the concerned tax district office within the first fifteen days of the month following the month in which the withholding takes place.

Book Five

Deduction, Collection And Advance Payments On Account Of The Tax

Part –1

Commercial And Industrial Activity

Chapter - 1
Deduction

Article : 59

The entities and establishments indicated hereinafter shall deduct a percentage of each amount exceeding three hundred pounds paid by them by way of commission or brokerage, or in return for purchase, supply, contracting or service operations to any of the private sector persons. A decree of the minister shall be issued determining this percentage at a rate not exceeding 5% of this amount, on account of the tax payable by these persons. The premiums settled to the insurance companies shall be excepted from the foregoing:

1- The government ministries and departments, the local government units, the public authorities, the national economic or service organizations, the public sector companies and units, the public business sector companies, the associations of capital, the establishments and companies subject to the investment laws, the partnerships with a capital exceeding fifty thousand pounds whatever their legal form, the companies established by virtue of special laws, the companies and projects established under the free zone system, the foreign companies branches, the drug stores, the import offices, the cooperative societies, the press institutions, the educational institutes, the syndicates, leagues, clubs, youths centers, unions, hospitals, hotels, all kinds of non-governmental organizations, the professional and foreign representative offices, the movie production establishments, the theatres and entertainment places and the private insurance funds established by virtue of law No. 54 for the year 1975 or any other law;

2- The other entities and establishments as determined by a decree to be issued by the minister.

These entities and establishments shall deliver the amounts deducted by them to the administration according to the procedures to be determined in the executive regulations of the present law. The entity or establishment that fails to deduct or deliver the amounts to the administration shall pay these amounts to the administration in addition to the relevant delay fines.

Article : 60

Persons of the private sector referred to in article (59) of the present law shall be exempted from complying with the provisions concerning the deduction on account of the tax if it is established to the administration that they have regular registers obligating them to pay the prepaid quarterly amounts, according to the provisions of chapter (2) of the present Part.

Chapter - 2
Advance Payments

Article : 61

Subject to the provision of article (63), the system of advance payments in applying the provisions of the present law shall mean the taxpayer's settlement of an amount on account of the tax payable by him for the fiscal period at the rate of 60% of any of the following:

1- The last tax declared by the taxpayer;

2- The tax he estimates for the year to which he desires to apply the system of advance payment, if the taxpayer has not submitted a tax return before, or if the tax return he submitted concerning the fiscal period preceding the submission of the request comprises a loss.

Article : 62

The taxpayer may choose between the system of deduction on account of the tax, according to article (59) of the present law, and his compliance with the provisions of advance payments system as prescribed in the present chapter.

The taxpayer's choice shall be made by virtue of a request he submits to the concerned tax district office at least sixty days before the beginning of the fiscal period starting from which he wishes to apply the advance payments system.

The administration shall reply to the taxpayer's request with its decision concerning the request within sixty days from the date of its submission. Non-replying during that period shall be considered a refusal of the request.

The executive regulations of the present law shall determine the form on which the request shall be submitted, the documents to be attached to it, and the procedures to be followed in notifying the taxpayer of the administration's decision in respect thereof.

Article : 63

The taxpayer, according to the system of advance payments, shall settle the percentage prescribed in article-61 of the present law in three equal installments, each of which shall be settled successively within dates not exceeding the 30th of June, the 30th of September, and the 31st of December of each year.

The taxpayer, after settling the second installment, may notify the administration of reduction or non-settlement of the third installment if his profits for the whole year are lower than the profits estimated in respect of the preceding year.

The number of advance payments may be reduced if the remaining period after submitting the request referred to in article (61) is less than twelve months, providing each payment of these amounts shall be settled to the concerned tax district office according to the conditions and procedures and on the form to be determined in the executive regulations of the present law.

The advance payments made according to this system shall be adjusted on submitting the annual tax return prescribed in article (82) of the present law. The taxpayer shall pay the remaining portion of the due taxable based on the tax return after deducting the advance payments previously settled plus an annual interest to be calculated according to the credit and discount rates announced by the Central Bank, providing 2%

shall be deducted from it along with eliminating the fractions of the month and the pound.

Article : 64

The taxpayer may relinquish his choice of the advance payments system and stick to the system of deduction on account of the tax according to article-59 of the present law, with the following two conditions:

1- The taxpayer shall have applied the advance payments system during at least one whole year and settled all the claims prescribed according to such system;

2- The taxpayer shall submit a request to the concerned tax district office within at least ninety days before the beginning of the fiscal year as of which he desires to start relinquishing the system of advance payments.

The administration shall accept the request when the two previous conditions are fulfilled, and notify the taxpayer of its decision within sixty days from the date of submitting the request, otherwise the failure to notify the taxpayer of the reply during such period shall be considered an acceptance of the request.

The executive regulations of the present law shall determine the procedures to be followed in submitting the request and in notifying the decision of the administration.

Article : 65

The taxpayer shall be exempted from applying the system of advance payments in either of the following two cases:

1- The taxpayer's incurrence of a tax loss for two consecutive years;

2- Change of the legal form of the establishment or company.

The administration may deprive the taxpayer from applying the system if it transpires to the administration that substantial differences exist between the taxpayer's estimations of his profits and the actual taxable profits of each year in which the system is applied.

The administration shall notify the taxpayer thereof by virtue of a registered letter with acknowledgement of receipt.

Chapter - 3
Collection on account of the tax

Article : 66

The entities through which licenses are granted for wholesale trade in vegetables, fruits, cereals and other foodstuffs, or those granting licenses for exercising professional activities, shall collect on renewing the license, an amount on account of the tax from those in whose name the license is issued. These entities shall not renew the license except after collecting the amount.

A decree of the minister shall be issued determining this amount, which shall not exceed 10% of the fee for renewal.

Article : 67

The Customs Administration shall collect from the persons of the private law a percentage of the value of their imports of goods that are allowed to be imported to the country for the purpose of trading in them or for their processing, on account of the tax to become payable by them.

In case of alienating those goods or endorsing their documents to third parties, a percentage shall be collected from each of the alienator, the alienee and the endorsers.

A decree of the minister shall be issued determining these percentages, which shall not exceed 2% of the value of imports and shall be collected together with the customs duties on those goods with the same procedures of their collection.

Article : 68

Slaughterhouses, in slaughtering on account of the taxable persons of the private law, shall collect, in addition to the prescribed slaughtering

duties, an amount on account of the due tax on each head of the slaughtered animals.

A decree of the minister shall be issued determining this amount, which shall not exceed 10% of the value of the duties.

Article : 69

The traffic offices shall refrain from renewing or transferring the registration of the taxi cabs or transport vehicles owned by any of the private sector persons except after collecting an amount on account of the tax payable by him.

A decree of the minister shall be issued determining this amount, which shall not exceed 10% of the prescribed registration fee imposed by the Traffic Law promulgated by law No. 66 for the year 1973. This amount shall be collected all at one time or in installments according to the rules regulating the settlement of the tax imposed on the vehicle according to the Traffic Law.

Part – 2

Non-Commercial Professions

Chapter One
Deduction of the Tax

Article : 70

Entities prescribed in article (59) of the present law shall deduct on account of the tax 5% from each amount exceeding one hundred pounds paid by them to masters of the non-commercial professions determined by a decree to be issued by the minister.

Chapter Two
Collection on Account of the Tax

Article : 71

Clerks offices of all courts with their different degrees, on submitting to such courts the initiatory pleadings or appeal for registration, and the real estate registration and notarization directorates, upon endorsing the validity of a written act for registration, shall collect an amount on account of the tax due on the lawyer signing the initiatory pleading or the written act.

Each hospital shall collect an amount on account of the tax from the physician or specialist who performs a work in it for his own account.

Customs administration shall collect from all person exercising the customs clearance profession an amount on each customs manifest submitted by him/her to the customs administration on account of the tax due on him/her.

A decree of the minister shall be issued determining the amounts prescribed in the previous clauses.

Part – 3

General Provisions

Article : 72

The entities prescribed in articles (66, 67, 68, 69, 70 and 71) of the present law shall deliver to the administration the amounts collected by them on account of the tax according to the procedures and within the dates to be determined in the executive regulations of the present law.

The entities prescribed in the first clause shall deliver to the administration the amounts deducted on account of the tax according to the procedures and within the dates to be determined in the executive regulations of the present law. In case of non-deducting or non-delivering the deductible amounts, the entity shall settle those amounts to the administration in addition to the delay fine due thereon.

Article : 73

The provisions on deduction and collection on account of the tax shall not apply to the amounts paid to the taxpayer during his tax-exemption or non-taxability period.

Book Six

Taxpayers' And Others' Obligations

Part – 1

Notification And BookKeeping

Article : 74

Whoever exercises a commercial, industrial, vocational, professional or non-commercial activity shall submit to the administration a notification thereof during thirty days from the date of beginning the exercise of such activity.

The taxpayer who establishes a branch, office, or an agency for the establishment, transfers its head office to another location, or introduces any change connected with the activity or the establishment, shall notify the administration accordingly within thirty days from the date of that change.

The task of notification, with regard to juridical persons, shall fall upon the legal representative of the juridical person, its manager, its managing director or the officer in charge of administration, according to each case.

The executive regulations of the present law shall indicate the notification data, the documents in support thereof, and the procedures to be followed with respect to it.

Article : 75

All taxpayer exercising a commercial, industrial, vocational or non-commercial activity and any person exercising a professional activity independently shall submit to the administration a request for issuing the tax card, providing such card for the aforementioned persons shall be one of the instituting procedures or the requirements for issuing or renewing the license for exercise of the profession or activity, and the administration shall have to issue the tax card for him.

The executive regulations of the present law shall determine the data to be included in the tax card, the card validity period, and the period during which it shall be delivered to the taxpayer. It shall also determine the data concerning the tax card of the taxpayers that are not subject to the provisions prescribed in the present law concerning deduction and collection on account of the tax.

Article : 76

The entities that are concerned with issuing the license for printing or publishing the artistic books, compilations, and other works, or registering or depositing these works with them, shall notify the administration, in each case, of the author's name and address, and of the title of the book, compilation, or others.

The provisions of the present article shall not apply to the Ministry of Defense.

Article : 77

The officials concerned at the ministries, government administrations, local government units, and other public juridical persons and unions empowered with the competence of granting a license for exercising a trade, industry, or a certain craft or profession, or a license for building a realty or for the possibility of exploiting a realty in exercising a trade, industry, craft or profession, shall, upon granting any license, notify the administration of the data and name of the licensee, according to the provisions of the executive regulations of the present law, within a period not later than the end of the month following the month in which the license is issued.

Granting a concession, franchise, or permit necessary for exercising the trade, industry, craft, or profession shall be considered tantamount to granting the said license.

Article : 78

The taxpayers mentioned hereinbelow shall keep the books and registers necessitated by the nature of the trade, industry, craft, or

profession of each of them as determined in the executive regulations of the present law:

1- The taxable natural person according to the provisions of Book (2), Part (1) of the present law, who exercises a commercial, industrial, craft, or vocational activity, if his invested capital exceeds fifty thousand pounds, his annual turnover exceeds an amount of two hundred and fifty thousand pounds, or his annual net profit, according to the last final tax assessment, exceeds twenty thousand pounds.

2- The juridical person subject to the provisions of book-3 of the present law.

The taxpayer shall keep the books and registers prescribed in the first clause of the present article and the documents in support thereof at his head office throughout the period prescribed in article-91 of the present law.

The taxpayer among the non-commercial professionals shall give anyone that pays to him an amount due to him in return for exercising his profession or activity, as fees, commission or compensation, or any other taxable amount, a receipt signed by him indicating the date and the value of the collected amount. The taxpayer shall submit the collection deed to the administration upon each demand.

The taxpayers may keep electronic accounts indicating the annual revenues and costs, and the minister shall issue a decree regulating the keeping of these accounts and the controls of shifting from the written accounts system to the electronic accounts system.

Article : 79

If the taxpayer discontinues the work, wholly or partially, the actual profits up to the date of ceasing the work shall be included in the taxable base.

The partial discontinuation of work shall mean the taxpayer's termination of some aspects of the activity, or termination of the activity of one or more of the branches in which he exercises the activity.

The taxpayer shall notify the concerned tax district office within thirty days from the date on which the work is terminated, otherwise the

profits shall be calculated on a full fiscal year unless the taxpayer proves having realized no revenues after that date.

If the establishment is discontinued because of its owner's decease, or if its owner dies within the thirty days period determined for submitting the notification about the termination, his successors shall notify about such discontinuance within sixty days from the date of their testator's death, and submit the tax return within ninety days from that date.

Article : 80

In case of alienating all or part of the establishment, the alienator shall notify the concerned tax district office of that alienation within thirty days from the date of its occurrence, otherwise the profits shall be calculated for a whole fiscal year.

The alienator shall, within sixty days from the date of alienation, submit an independent tax return indicating the result of operations in the alienated establishment coupled with the necessary documents and data for determining the profits up to the date of alienation, providing the data of that return shall be included within the annual tax return of the alienator.

Both the alienator and the alienee shall be jointly liable for the tax payable on the profits of the alienated establishment up to the date of alienation as well as the tax on the capital profits realized as a result of this alienation.

The alienee may request from the concerned tax district office to provide him with a statement of the taxes payable to it by the alienated establishment, and the tax district office shall provide him with the required statement by registered letter with acknowledgement of receipt within ninety days from the date of the request, otherwise he shall be acquitted of the claimed tax. His liability shall be limited within the amounts mentioned in such statement. The alienation shall have no conclusiveness with regard to the tax collection unless the procedures, legally prescribed with regard to the sale and mortgage of trading stores, are taken.

The tax due on the profits of the alienated establishment shall be determined up to the date of alienation and the alienee shall have the right of appeal with regard to the tax he is responsible for.

Article : 81

The taxpayer who desires to discontinue exercising the activity, alienate the establishment, or depart from the country finally may request from the administration to determine his fiscal situation up to the date of his discontinuance, alienation, or departure from the country, providing he shall have submitted the tax returns he is committed to submit according to the provisions of the present law, and shall pay a fee to be determined in the executive regulations of the present law not exceeding twenty pounds, whereupon the administration shall respond to his request within ninety days from the date of receiving that request.

Part – 2

Tax Returns

Article : 82

Each taxpayer shall submit to the concerned tax district office an annual tax return on the form to be determined by the executive regulations of the present law accompanied by the documents determined in the regulations.

The provision of the previous clause shall apply to the taxpayer during the period of his exemption from the tax.

Submitting the tax return for the first time shall be considered as a notification of exercising the activity.

The taxpayer shall be exempted from submitting the tax return in the following cases:

1- If his income is limited to the salaries and the like;

2- If his income is limited to the real estate wealth revenues and his net income from them does not exceed the amount defined in Article (7) of the present law;

3- If his income is limited to the salaries and the like and to the real estate wealth revenues and his net income from them does not exceed the amount defined in Article (7) of the present law.

Article : 83

The tax return shall be submitted within the following dates:

a) Before the 1st of April of each year following the end of the fiscal period, concerning the year preceding it, with regard to the natural persons;

b) Before the 1st of May of each year or within four months following the fiscal year end date, with regard to the juridical person.

The tax return shall be signed by the taxpayer or his legal representative. If an independent accountant draws up the tax return, he shall sign it together with the taxpayer or whoever represents him legally, otherwise the tax return shall be considered as null and void.

In all cases, the tax return shall be signed by an accountant registered in the accountants and auditors list, with regard to the associations of capital, cooperative societies, natural persons and partnerships, if the turnover of any of them exceeds two million pounds annually.

In case of the taxpayer's decease during the year, the successors, or the administrator or liquidator shall submit the tax return on the period preceding the decease, within ninety days from the date of death and settle the tax payable by the taxpayer from the funds and property of the legacy.

The taxpayer, whose residence in Egypt is discontinued, shall submit the tax return at least sixty days before the discontinuance of his residence unless this discontinuance is due to a sudden cause beyond his control.

The taxpayer who discontinues exercising his activity totally in Egypt shall submit the tax return within sixty days from the date of discontinuance.

Article : 84

The administration shall accept the tax return prescribed in Article (82) of the present law on the taxpayer's responsibility.

Subject to the provisions of the second clause of Article (63) of the present law, the taxpayer shall settle the amount of the due taxable based on the tax return, on the very day of its submission after reducing the deducted taxes and advance payments. In case the deducted taxes and advance payments exceed the amount of the due tax, the increase shall be used for settling the previous tax claims. If there are no previous tax claims, the administration shall pay back the increase unless the taxpayer does not request in writing using that increase for settling any tax dues in the future.

Article : 85

If the taxpayer requests extending the date of submitting his tax return, at least fifteen days before the ending date of the period determined for its submission, and settles on the date of submitting the request the tax amount according to his estimation as mentioned in the tax return, the date of submitting the tax return shall be extended for a period of sixty days, without such extension of the date having an effect on the date of tax settlement or on the due date of paying the delay fine on any amount thereof remaining unsettled.

Article : 86

The entities that are committed to apply the deduction provisions shall pay the deducted amounts within a date not later than the end of April, July, October, and January of each year, and shall provide the registers necessary for inspection by the administration, providing they shall comprise the following data on each fiscal period:

a) The amounts paid and the individual receiving them;

b) The tax deducted from those amounts.

Those entities shall send to the administration a copy of the said registers for keeping them, according to the rules and procedures to be determined in the executive regulations of the present law.

Article : 87

If the taxpayer discovers, during the period of limitations of the tax debt, an oversight or error in his tax return submitted to the concerned tax district office, he shall forthwith submit an amended tax return after correcting the oversight or error.

If the taxpayer submits the amended tax return within thirty days from the legal date of submitting the tax return, the amended tax return shall be considered as good as the original tax return.

The banks, public sector companies and units, public business sector companies, and the public juridical persons, may submit a final tax return

within thirty days form the date of approving their accounts by the general assembly, and the tax differences shall be settled based on those accounts.

In case of submitting an amended tax return according to the second and third clauses, the error or oversight in the tax return shall not be considered a violation or crime.

Article : 88

The administration may not refrain from reckoning with the taxpayer's regular books and registers according to the text of Article (78) of the present law unless it proves their non-validity by virtue of documents submitted thereby.

Part – 3

Tax Assessment

Article : 89

The tax shall be assessed on the fixed profits, based on the tax return submitted by the taxpayer.

The tax return shall be considered as an assessment of the tax and a commitment to pay it within the legal date, and the tax shall be settled based on such tax return.

Article : 90

The administration may modify the assessment based on the data mentioned in the tax return and the documents in support thereof.

The administration may effect any estimated assessment of the taxable based on any available data in case the taxpayer does not submit his tax return or the data and documents in support of such tax return.

If the administration has documents establishing the non-conformity of the tax return to reality, it shall notify the taxpayer, perform an inspection, correct or amend the tax return and determine the taxable revenues.

The head of the administration, following approval of the Minister of Finance, may assess the tax before its payment date falls due, if it deems necessary to collect it with the existence of concrete evidence that the taxpayer is planning for tax evasion by transferring his assets to another person, or taking other procedures prejudicing the collection of the tax.

The concerned tax district office, in these cases, shall notify the taxpayer by registered letter with acknowledgement of receipt of the tax assessment elements and its value, on the form to be determined in the executive regulations of the present law.

Article : 91

In all cases, the administration may not carry out or amend the assessment except during a period of five years beginning from the date of ending the period legally determined for submitting the tax return for the fiscal period involved, and this period shall be six years for the taxpayer who evades the tax payment.

The period shall be interrupted by any of the causes of limitations interruption as prescribed in the Civil Code, and by notifying about the tax assessment elements, serving a notice on the taxpayer to pay the tax, or referring the dispute to the appeal committees. The taxpayer may request the retrieval of the amounts overpaid on account of the tax within five years from the date on which his right to the retrieval arises.

Article : 92

If the tax is assessed on a person and he is established to be working for account of another person nominally or collusively for obtaining any privileges or evading any obligations prescribed by virtue of the provisions of the present law, they shall both be jointly liable for settling the tax payable on the profits.

Article : 93

In all cases, the administration shall, automatically or upon the request of the taxpayer, correct the physical and accounting errors.

Part – 4

Inspection And Investigation

Article : 94

The administration shall inspect the taxpayers' tax returns annually through a sample the rules and standards of which shall be determined by a decree of the minister upon the proposition of the head of the administration.

Article : 95

The concerned tax district office shall notify the taxpayer by registered letter with acknowledgement of receipt of the date defined for inspection, its place and estimated period, at least ten days before that date.

The taxpayer shall receive the administration's law officers and enable them to review the books, instruments and written documents in his possession.

The minister may authorize the administration's law officers to enter the taxpayer's work places during the work hours, without a prior notice, if the administration has serious reasons affirming the taxpayer's tax evasion.

No elements previously inspected shall be re-inspected unless substantial facts are revealed necessitating such re-inspection.

Article : 96

The taxpayer shall provide the data and copies of the books, documents, and written acts including the customers and suppliers lists required from him by the administration in writing, within fifteen days from the date of requiring them, unless the taxpayer submits sufficient evidence of the difficulties faced by him in preparing and submitting the required data within the defined period.

The head of the administration or his delegated deputy may extend this period for an adequate period if the taxpayer submits sufficient evidence of the difficulties he encounters in submitting these data and copies.

Article : 97

The government entities, including the illicit gain agency, the local government units, the public authorities, the public sector companies and syndicates, shall not, in any case or even under the pretext of preserving the trade secret, refrain from showing and disclosing to the administration's law officers the instruments and papers they want to view for the purpose of assessing the tax prescribed by virtue of the present law. In all cases, the aforementioned entities shall provide the administration with all the necessary data they require for assessing the tax.

Article : 98

The public prosecution or the illicit gain agency may show the administration the files of any civil or criminal action connected with the administration's inspection, assessment or collection of the taxes prescribed in the present law.

Article : 99

The minister, for the purposes of the present law, may request from the President of Cairo Court of Appeal a writ for the administration's law officers to view and obtain the data connected with the accounts, deposits and savings of customers.

Those in charge of managing certain funds, all those whose profession comprises the payment of movable values revenues, and all companies, authorities, establishments, members of commercial and non-commercial professions and other taxpayers shall submit to the administration's law officers, upon each demand, the books which the Trade Law or the other laws impose on them to hold, as well as other written acts, books and documents annexed to them, and the revenues and expenses sheets to enable the said law officers to ensure the implementation of all the provisions prescribed in the present law, whether with respect to them or to other taxpayers.

It shall be inadmissible to refrain from enabling the administration's law officers to view the said books, written acts and documents, providing their access to such papers shall take place at the location where they are present, during the normal work hours, without need for prior notification.

Article : 100

The educational establishments and institutions, and the organizations and establishments exempted from the tax prescribed in the present law shall submit to the administration's law officers, upon each demand, their account books and all documents they are required to submit.

Article : 101

All person who, by virtue of his position, competence or work, is concerned with assessing or collecting the taxes prescribed in the present law or settling the disputes connected therewith shall observe the professional secrecy.

No official at the administration whose job is not connected with assessing or collecting the tax shall be permitted to provide other persons with any information or show them any paper, data, file or others except in the legally authorized cases.

No data shall be given from the tax files, except upon a written request from the taxpayer or by virtue of a provision in any other law. The provision of data to the alienee of the establishment or the exchange of information and data between the revenue entities attached to the Ministry of Finance, according to the regulations to be issued by decree of the minister, shall not be considered divulgence of secrecy.

Part – 5

Collection Guarantees

Article : 102

The taxes and other amounts payable to the government, by virtue of the present law, shall be a privileged debt ranking second to the judiciary expenses over all funds of the tax debtors or of those committed to deliver them.

The tax debt shall be payable at the head office of the administration and its branches without need for claiming it at the debtor's head office.

Article : 103

The unsettled tax and delay fee prescribed in the present law shall be collected by virtue of enforceable claims to be issued in the names of those legally committed to settle them, without prejudice to their right to claiming them from the tax debtors. These claims shall be signed by the administration's employees to be defined in the executive regulations, and shall be addressed by virtue of registered letter with acknowledgment of receipt.

Article : 104

The administration shall have the right to levy a distraint with the value of the payable taxes, based on the tax returns submitted by the taxpayer if they are not settled within the statutory dates, without need for issuing a claim or serving a notice thereof, and the taxpayer's tax returns in this case shall be the writ of execution.

The Department shall notify the taxpayer with a claim for settlement within sixty days from the date of the taxpayer's approval of the tax district office's estimations or issuance of the appeal committee's decision or the first instance court's ruling, by virtue of a registered letter with acknowledgement of receipt.

In all cases, the distraint shall not be levied except after warning the taxpayer by registered letter with acknowledgement of receipt if there is no danger threatening the collection of the tax debt.

Article : 105

Tax collection shall take place in one lot or in installments not exceeding the number of the fiscal years in whose regard the tax is payable.

If general or special conditions emerge concerning the taxpayer, and prevent collecting the tax according to the provisions of the previous clause, the head of the administration or his delegated deputy may divide it into installments over a longer period in such a manner that they shall not exceed twice the number of fiscal years.

The right to pay in installments shall abate in case of delaying the settlement of any installment. The head of the administration or his delegated deputy may, upon a request to be submitted by the taxpayer, approve the renewal of installments in the cases deemed appropriate by him.

Article : 106

The provisions of law No. 308 for the year 1955 on levying the attachment and the provisions prescribed in the present law shall be followed in collecting the taxes and other amounts payable by virtue of the present law.

Article : 107

If it transpires to the administration that the rights of the public treasury are liable to be lost, its head may request the concerned summary matters justice to issue a warrant on petition for levying an attachment on the funds deemed to be adequate for collecting the rights that are liable to be lost, whatever the holders of such funds. The funds shall be considered, by virtue of this warrant, as being under conservatory attachment and shall not be disposed of unless the attachment is lifted by a court ruling or by a decision from the head of the administration, or after the lapse of sixty days from the date of levying the attachment without notifying the taxpayer of the tax value according to the concerned tax district office's estimation.

Issuing the writ of attachment according to the previous clause shall be upon a request from the minister if the taxpayer does not have sufficient moneys for settlement of the rights liable to be lost other than his liquid funds deposited in banks.

The attachment shall be lifted by a decision from the summary matters justice if the taxpayer deposits in the court treasury an amount sufficient for settlement of these rights to be appropriated by him for guaranteeing settlement of the tax debt when it is determined finally.

Article : 108

The Clerks Office of the Court before which procedures are taken for levying execution on a realty shall notify the administration, by virtue of a registered letter with acknowledgement of receipt, of depositing the sale conditions list, within fifteen days from the date of deposit.

The Clerks Office of the Court before which the sale takes place and each one assuming the sale by auction shall notify the administration, by registered letter with acknowledgement of receipt, of the date scheduled for selling the realties or movables, at least fifteen days before the date of sale.

Every default or delay in the notification referred to in the previous two clauses shall expose the causer to disciplinary accountability.

Article : 109

Every public or private person who deducts amounts on the administration's account or delivers them to it in application of the provisions of this law or the said law No. 308 for the year 1955, shall give the taxpayer, from whom such amounts were deducted, a certificate upon his request being exempted from all fees and showing the deducted amounts, the deduction date and date of delivery to the administration.

The certificates or receipts issued from the entities, which carried out the deduction or collection on account of the tax payable on the taxpayer, shall be considered a deed for the tax settlement within the limits of the amounts mentioned in it if the entity assuming such deduction does not deliver the amount to the administration.

Article : 110

A delay fine shall be payable on:

1- The amount in excess of two hundred pounds that has not been settled out of the due tax, even if a decision of paying it in installments is issued, as from the day following the deadline determined for submitting this declaration;

2- The taxes or amounts prescribed by the law, to be withheld at source or collected and delivered to the public treasury, which were not delivered, as from the day following the end of the period determined for delivery according to the provisions of the present law.

The delay fine referred to in the present Article shall be calculated on basis of the credit and deduction rate declared by the Central Bank on the first of January prior to that date after adding 2% to it, along with excluding the month and pound fractions. The legal complaint or appeal shall not result in the non-payment of this delay fine.

Article : 111

The delay fine on the delayed amounts shall be treated as goods as the tax connected thereto. The settlement of the amounts to be paid to the administration for fulfilling the taxpayer's obligations shall take place in the following order:

1- Administrative and legal expenses;
2- Delay fine;
3- Taxes withheld at source;
4- Taxes payable.

Article : 112

If the taxpayer's right to recuperate all or some of the taxes or other amounts which were settled wrongfully has transpired to the administration, the administration shall refund these taxes and amounts within forty five days form the date of the taxpayer's request of recuperation, otherwise a delay fine shall be payable by the administration on basis of the deduction and credit rate declared by the Central Bank on

the first of January prior to the date on which the tax falls due, after deducting 2% of such rate.

Article : 113

Clearing shall take place by the power of law between the amount paid by the taxpayer in excess of any tax imposed by the present law and the amount being due and payable by him by virtue of any tax law to be applied by the administration.

Article : 114

The minister, based on the proposition of the administration's head, may drop all or some of the taxes and delay fine regarding them, permanently or temporarily, in the following cases;

1- If the taxpayer dies with no apparent patrimony;

2- If non-existence of the taxpayer's executable funds is ascertained;

3- If the taxpayer ends his activity and has executable funds to settle all or some of the administration's dues, in this case a fund that produces a revenue of not less than five thousand pounds annually shall remain for the taxpayer or his inheritors after execution.

Article : 115

The minister may issue tax bills to be subscribed to by the taxpayers and having a yield exempted from the tax to be determined by the minister.

These bills and their associated yields shall have remittal power upon settling the taxes payable.

Part – 6

Appeal Procedures

Article : 116

The notification sent by a registered letter with acknowledgement of receipt or by any electronic means having conclusivness of evidence according to the law on electronic signature as promulgated by law No. 15 for the year 2004, as shall be determined by decree of the minister, shall have the same effect resutling from the notification taking place by legal methods, including serving a notice on the distrainee with a copy of the distraint report.

The notification shall be legally valid whether the taxpayer receives it from the concerned tax district office or from the appeal committee or receives it at the establishment premises or at his elected domicile.

In case of closing down the establishment or absence of taxpayer and it is practically difficult to serve the notice on him by one of the said methods, and also in case of the taxpayer's refusal to receive the notice, this shall be recorded in a report to be drawn up by one of the administration's law officers and published on the notice board of the concerned tax district office or appeal committee, according to each case, along with displaying a copy thereof at the establishment's head office.

If the notification is returned with an annotation indicating the non-existence of the establishment or non-acquaintance with the taxpayer's address, the notice shall be served on the taxpayer by means of the public prosecution after conducting the necessary investigations.

The publication in the foregoing manner and serving the notification by means of the public prosecution shall be considered a procedure interrupting the limitations.

The taxpayer, in the cases prescribed in the third and fourth clauses of the present article, may challenge the assessment or the decision of the appeal committee, according to each case, within sixty days from the date of levying the attachment, otherwise the assessment or committee's decision shall become final.

Article : 117

In the cases where the tax is assessed by the administration, the taxpayer may challenge the tax assessment form, within thirty days from the date of its receipt. If he does not challenge it within this period, the assessment shall be considered final.

Article : 118

The taxpayer subject to the tax on salaries and wages may, within thirty days from the date of receiving the taxable revenue, may object to the taxes deducted, by submitting a request to the concerned entity effecting the deduction.

This entity shall send the request coupled with its reply to the concerned tax district office within thirty days from the date of its submission.

The said entity may also object to the tax differences resulting from the inspection as reported to it, within thirty days from the date of receiving the notification.

The tax district office shall assume examining or objecting to the request. If it finds the request to be valid, it shall notify the entity with the tax assessment modification. If it is not convinced with the validity of the request or objection, it shall refer it to the appeal committee according to the provisions of the present law along with notifying the concerned party of this by registered letter with acknowledgement of receipt within thirty days from the date of referral.

If the taxpayer does not have an entity where it will be possible to submit the said request, he may submit it to the concerned tax district office or appeal committee, according to each case.

Article : 119

In the cases where the tax is assessed by the administration, the appeal submitted by the taxpayer against the tax assessment elements and value shall be on a statement of three copies to be deposited with the

concerned tax district office. One of those copies shall be handed over to the taxpayer with endorsement by the tax district office marking the date of its submission. The tax district office shall record in a special book the appeal data and a summary of the aspects of dispute it comprises.

The tax district office shall adjudicate on the aspects of dispute between itself and the taxpayer by means of an internal committee in it, within sixty days from the date of submitting the appeal. If a settlement of the aspects of dispute is reached, the assessment shall be conclusive. The executive regulations of the present law shall regulate the rules of establishing the internal committees, as well as the procedures of work in them and of recording the agreements to be reached before them.

If a settlement of the aspects of dispute is not reached, the tax district office shall notify the taxpayer accordingly, and shall refer the aspects of dispute to the concerned appeal committee within thirty days from the date of adjudicating on those aspects, providing it shall notify the taxpayer of that referral by registered letter with acknowledgement of receipt. If the thirty days period lapses without the tax district office referring the dispute to the concerned appeal committee, the taxpayer may then submit the matter in writing direct to the chairman of such committee or by registered letter with acknowledgement of receipt. The chairman of the committee shall determine, within fifteen days from the date on which the matter is submitted to him or the date of receiving the taxpayer's letter by him, a session for examining the dispute, and order joining the taxpayer's file to the case.

Any of the procedures prescribed in the present Article may be taken by any electronic means to be determined by the minister.

Article : 120

The appeal committees shall be established, by virtue of a decree of the minister, of a chairman to be a non-employee of the administration, with the membership of two of the administration's officers to be elected by the minister and two experienced members to be elected by the General Federation of Chambers of Commerce jointly with the Federation of Egyptian Industries from among the accountants recorded in the list of accountants and auditors of the associations of capital in the general register of accountancy and auditing free professionals.

The minister may appoint members acting as substitutes to the administration's officers on the committees in towns where there is one committee. The original members shall be considered substitute members with regard to the other committees in towns with more than one committee. Delegating them in lieu of the original members who fail to attend shall be the responsibility of the chairman of the original committee or its senior member in the chairman's absence.

The committee's meeting shall not be valid unless it is attended by its chairman and at least three members of the committee, and the committee's secretariat shall be assumed by an employee to be delegated by the administration.

The appeal committees shall be permanent and attached direct to the minister. A decree of the minister shall be issued determining them, their head offices, area of competence and members' remuneration.

Article : 121

The appeal committees shall be concerned with adjudicating on all the aspects of dispute between the taxpayer and the administration in the litigations connected with the taxes prescribed in the present law, the stamp duty law as promulgated by law No. 111 for the year 1980 and law No.147 for the year 1984 imposing the state's financial resources development duty.

The committee shall notify the taxpayer and the administration of the date of holding the appeal hearing session, at least ten days before holding it, by virtue of a registered letter with acknowledgement of receipt. It may request from the administration and the taxpayer to submit the data and documents it deems necessary, and the taxpayer shall appear before the committee personally or represented by a proxy, otherwise the committee shall adjudicate on the appeal in light of the submitted documents.

The committee shall issue its decision within the limits of the administration's estimation and the taxpayer's requests, and the tax assessment shall be modified according to the committee's decision. If the tax has not already been collected, it shall then be collected by virtue of such decision.

Article : 122

The appeal committees' sessions shall be held in camera and their decisions shall be substantiated and issued with the majority of votes of the attending members. In case of equal voting, the chairman of the committee shall have the casting vote. The chairman and the secretary shall sign the decisions within fifteen days at most from their date of issue.

The committee shall observe the general rules and principles of litigation procedures. The taxpayer and the administration shall be notified of the decision issued by the committee, by registered letter with acknowledgement of receipt. The tax shall be payable according to the tax assessment on basis of the appeal committee's decision. Challenging the committee's decision before the court of first instance shall not prevent collecting the tax.

Article : 123

The administration and taxpayer may challenge the committee's decision before the court of first instance, which is held by a commercial panel within thirty days from the date of announcing the decision.

The case shall be brought before the court within the jurisdiction of which the head office of the taxpayer, his normal home address, or head office of the establishment lies, according to the provisions of the civil and commercial procedural law.

Challenging the judgment passed by this court shall be through appeal action, whatever the disputable amount involved is.

Article : 124

The administration shall correct the final assessment based on the estimation of the tax district office or the appeal committee's decision, upon a request to be submitted by the concerned party within five years from the date on which the assessment becomes final, in the following cases:

1- The concerned party's exercise of no activity on which the tax is assessed;

2- Assessment of the tax on an activity legally exempted from it;

3- Assessment of the tax on non-taxable revenues, unless otherwise prescribed by the law;

4- Non-application of the exemptions legally prescribed;

5- Error in applying the tax rate;

6- Error in the type of tax assessed on the taxpayer;

7- Non-posting the losses contrary to the provision of the law;

8- Non-deduction of deductible taxes;

9- Non-deduction of the rental value of realties leased by the establishment;

10- Non-deduction of donations that the deduction conditions of which are legally fulfilled;

11- Charging the revenues or expenses of some years to other fiscal years;

12- Assessing the same tax on the same revenues more than once.

The minister may add other cases by a decree from him.

And, generally, in the cases where the person concerned obtains conclusive documents and papers liable to conduce to the invalidity of assessment.

One or more committees to be named (final assessment reconsideration committee), including among its members, a member of the State Council with at least the rank of assistant counselor to be delegated by the head of the State Council, shall be concerned with adjudicating on the said requests. A decision establishing the committee, and determining its powers and head quarters shall be issued by the head of the administration. The committee's decision shall not be enforced except after its approval by the head of the administration.

The taxpayer and the concerned tax district office shall be notified of the committee's decision.

Article : 125

The court may examine the actions brought by or against the taxpayer in a closed session and the court judgment shall always be passed summarily in them, providing the public prosecution shall be represented in the action assisted by a delegate from the administration.

Article : 126

The minister may exclusively issue general rules and instructions to be observed by the administration in implementing the provisions of the present law and its executive regulations.

Article : 127

The taxpayer desiring to conclude dealings with influencing tax effects shall submit a written request to the head of the administration for indicating its position with regard to applying the provisions of the present law to such dealing.

The request shall be submitted fulfilling the data and accompanied by the following documents:

1- The taxpayer's name and tax main registration number;

2- A statement of the dealing and its tax effects;

3- Copies of the documents, contracts and accounts connected with the dealing.

The head of the administration shall issue a decision concerning the request within sixty days from the date of submitting it, and he may request additional data from the taxpayer during that period. The decision shall be binding on the administration unless elements of the dealing not submitted to it before issuing the decision are revealed after its issuance.

Article : 128

The administration may appoint delegates for it from among its officers, at the ministries, governmental administrations, local government units, public juridical persons, public sector companies and public business sector companies. The delegate of the administration shall follow up the said entities' sound implementation of the provisions of the present law and the other tax legislations connected with it, and ascertain that those entities settle the taxes according to the provisions of such legislations.

Those delegates and the other officers of the administration to be determined by a decree issued by the Minister of Justice upon the request of the Minister of Finance, may have the quality of law officers and record the violations committed against the provisions of the said legislations in reports the data of which shall be determined in the executive regulations of the present law.

Article : 129

The onus of providing evidence shall be on the administration in the following cases:

1- Correction, modification or non-reckoning with the tax return if it is submitted according to the conditions and situations prescribed in Articles (83 and 84) of the present law, and supported by regular books in terms of the form according to the Egyptian Accounting Standards or simplified accounting standards derived therefrom and subject to the laws and rules prescribed in this respect;

2- Modification of the assessment according to Article (91) of the present law;

3- Non-reckoning with the tax return if it is approved by one of the accountants and supported by books according to the provisions of Article (78) of the present law.

Article : 130

The onus of providing evidence shall be on the taxpayer in the following cases:

1- Setting an estimated assessment of the tax by the administration according to Article (90) of the present law;

2- The taxpayer's correction of an error in his tax return;

3- The taxpayer's objection to the contents of a report written by the administration's officer who is empowered with the quality of law officer.

Book Seven

Penalties

Article : 131

Subject to any stricter penalty prescribed in the Penal Code or any other law, the crimes indicated in the following articles shall be liable to the penalties prescribed in them.

Article : 132

Every accountant, recorded in the accountants and auditors list, ratified a tax return, the instruments or documents supporting it shall be liable to imprisonment and a fine not less than ten thousand pounds and not exceeding one hundred thousand pounds or either penalty if he commits one of the following deeds:

1- Concealing facts he came to know about during the performance of his duty and the documents, that he attested their validity, did not disclose them when the disclosure of those facts was necessary for such accounts and documents to express the truth about the taxpayer's activity;

2- Concealing facts he came to know about during the performance of his duty connected with any modification or change in the books, accounts, registers or documents and such modification or change would give a false impression of decreased profits or increased losses. In case of recurrence, he shall be liable to both the imprisonment and fine.

Article : 133

All taxpayer evading the tax payment shall be liable to a penalty of imprisonment for a period of not less than six months and not exceeding five years and a fine equivalent to the value of tax that was not paid as prescribed in the present law or by either penalty.

The taxpayer shall be considered a tax evader by using one of the following methods :

1- Submitting the annual tax return based on fabricated books, registers, accounts or documents while being aware of that, or including in his tax return data contrary to what is recorded in the books, registers, accounts or documents he concealed;

2- Submitting the annual tax return based on the non-existence of books, registers, accounts or documents, along with including in his tax return data contrary to what is recorded in the books, registers, accounts or documents he concealed;

3- Deliberate damage of the tax-related registers or documents before the lapse of the date defined for limitations of the tax debt;

4- Fabricating or changing the purchase or sale invoices or other documents for giving the administration a false impression of decreased profits or increased losses;

5- Concealing a taxable activity or part of it.

In case of recurrence, he shall be liable to both the imprisonment and the fine.

In all cases, the tax evasion crime shall be considered an offense involving trust and moral turpitude.

Article : 134

The accomplice shall be jointly liable with the taxpayer for paying the amount of his evaded tax and the fines adjudged in respect thereof.

Article : 135

Whoever commits any of the following deeds shall be liable to a fine of not less than two thousand pounds and not exceeding ten thousand pounds:

1- Refraining from submitting the notification of exercising the activity;

2- Refraining from submitting the tax return;

3- Refraining from applying the system of deduction, discount, collection and delivery of the tax on the statutory dates.

Whoever violates the provisions of Article (96) clause (1) shall be liable to the same penalty.

Whoever violates the provisions of Article (78), item (1) and Article (83), clause (3) shall be liable to a fine penalty of ten thousand pounds.

In all cases, the said fine shall be doubled in case of recurrence to committing the same violation within three years.

Article : 136

If the taxpayer includes the tax amount in the tax return as less than the amount of the finally estimated tax, he shall be liable to the fine the percentage of which is indicated next to each of the following cases:

1- 5% of the tax payable on the non-included amount if such amount is equivalent to 10% up to 20% of the legally payable tax;

2- 15% of the tax payable on the non-included amount if such amount is equivalent to more than 20% up to 50% of the legally payable tax;

3- 80 % of the tax payable on the non-included amount if such amount is equivalent to more than 50% of the legally payable tax.

Article : 137

Filing the criminal action or taking any of the investigation procedures shall not be admitted in respect of the crimes prescribed in the present law except on basis of a written request from the minister.

Article : 138

The minister, or whoever he delegates, may reach a conciliation in the crimes prescribed in the present article whatever the status of the action before passing a final ruling in it might be, in return for settling:

a) The amounts payable by the violator in the crimes prescribed in Article (135) of the present law, in addition to a compensation of two thousand pounds;

b) The amounts payable by the violator, in addition to a compensation equivalent to half the amount of the fine prescribed in Article (136) of the present law;

c) The amounts payable by the violator in the crimes prescribed in Articles (133 and 134) of the present law, in addition to a compensation equivalent to those amounts;

d) A compensation equivalent to half the maximum amount of the fine prescribed in Article (132) of the present law.

The conciliation shall result in abating the criminal action and its resultant effects. The public prosecution shall order staying the execution of the penalty if the conciliation takes place during its execution.

Book Eight

Final Provisions

Article : 139

A higher council for taxation attached to the Prime Minister shall be established by virtue of a presidential decree, with its head office seated in Cairo and it shall have the juridical personality.

Article : 140

The council shall aim at guaranteeing the taxpayers' rights of all kinds, the abidance of the concerned taxation departments by the provisions of the laws and regulations issued in this respect, along with completing the assessment and collection procedures within a framework of cooperation and good intention.

The council shall also aim at directing the taxpayers towards the legal procedures set for guaranteeing their obtainment of their rights.

Article : 141

The council, toward realizing its purposes, shall exercise the following powers:

1- Studying and declaring the taxpayers rights official document and monitoring the compliance with it;

2- Studying the laws and regulations regulating all kinds of taxation affairs and proposing their modification in cooperation with the governments and the concerned administrative entities. The draft laws and regulations to be proposed by the government with regard to all kinds of taxes shall be submitted to the council for their reviewal and consulting its view in them before submitting them to the People's Assembly;

3- Studying the instructions issued by the administrative entities concerned with all kinds of taxation affairs, interfering with the

entities of jurisdiction and the concerned authorities for canceling the instructions that are non-commensurate with the provisions of laws and regulations or the taxpayers rights official document, and working on rendering those instructions non-conflicting for guaranteeing the assessment and collection of the tax smoothly and without suffering;

4- Monitoring the taxation departments' exercise of their powers for guaranteeing their observance of the taxpayers rights;

5- Verifying the tax work guides and giving opinion in them before ratifying and publishing them, particularly:

- The taxation department work guides;
- Guide of tax inspection basic rules;
- Tax inspection procedures guide;
- Guide of inspection of samples.

6- Studying the extent of technical and financial efficiency of the administrative entities in charge of taxation affairs in a way guaranteeing the quality of the technical and administrative services performed by them, cooperating with the concerned entities and submitting propositions for eliminating any nonfeasance in this respect;

7- Publishing the information, reports and recommendations enabling the taxpayers to recognize their rights and obligations;

8- Studying the taxpayers' complaints submitted to the council, cooperating with the competent entities for eliminating the causes of the valid complaints among them, and proposing general rules for elimination of their causes in the future. The concerned administrative entities, in cooperation with the council, shall study the complaints referred to it and provide the council with the data, reports and researches it requires in relation to its works;

The council shall submit on the 30th of September of each year a report on its works to the President of the Republic and the Prime Minister comprising the deficiency in taxation legislations, and the cases of abuse of authority by any of the tax administration entities or their violation of their powers, as revealed by the council's exercise of its powers.

This report shall be submitted to the president of the People's Assembly for submitting it to the Assembly.

Article : 142

The council shall be established by a decree of the Prime Minister for a period of three renewable years as follows:

1- A head among the public figures;

2- Three members among the former heads of the general taxation administration to be nominated by the minister;

3- One of the judiciary men with at least the rank of counselor to be nominated by the Minister of Justice;

4- Two accountants among those registered in the list of accountants and auditors of the associations of capital in the general register of accountants and auditors free professionals to be elected by the division of accountants and auditors at the Syndicate of Commercial Professions;

5- Head of the Egyptian Federation of Industries;

6- Head of the General Federation of Chambers of Commerce;

7- One of the university professors specialized in taxation affairs to be nominated by the Higher Council of Universities;

8- One of the deputy managers of the Central Audit Agency to be nominated by the head of the Agency.

The decree shall determine the remuneration of the chairman and the council members.

Article : 143

The council shall meet at the invitation of its chairman at least once every two months and whenever the chairman considers necessary. The meeting shall only be valid with the attendance of at least six of its members, and the decisions shall be issued with the majority of votes of the attending members, and in case of equality of votes, the chairman shall have the casting vote.

The council may invite representatives of the taxation departments, that are related to the proposed issues, to attend its meetings, and also financial, economic or legal experts it decides to resort to their assistance without having a counted vote in the deliberations.

Article : 144

The resources of the council shall be formed of the following:

1- The adequate financial appropriations to be allocated for it in the general budget of the state;

2- The gifts, donations, aids, and grants accepted by the council, which do not contradict its purposes;

3- The yield of investing its funds and property.

Article : 145

The council shall have a special budget, and the financial year of the council shall begin on the 1st of July and end on last of June of each year.

Article : 146

The council shall set the financial, administrative and technical regulations for its work.

The council shall have an executive director to be appointed by a decision issued by the council for a term of three years, which shall determine his responsibilities and financial treatment. The council shall also have a technical Secretariat for which a decision shall be issued by the council regulating it, setting its functional and organizational structure, and determining its responsibilities.

Article : 147

All amounts and financial values, that their holders' right is abated by limitation, shall devolve to the public treasury by a final ruling and they shall be included among the kinds shown hereinbelow:

1- Profits and yields resulting from the negotiable shares and bonds which are issued by any company, authority, public or private entity;

2- The shares, founders' shares, bonds and all other movable values of the said companies, authorities or entities;

3- Securities deposits and generally all that is required of those securities at the banks and other establishments receiving such securities as a deposit or for any other reason;

4- Every amount to be paid as insurance for any reason to any joint stock company, authority, public or private entity.

The companies, banks, establishments, authorities or other entities prescribed in the present Article shall provide the administration, on a date not later than the end of March of each year, with a statement of all funds and values affected by limitation during the previous year and their ownership devolved to the government according to the present Article. It shall deliver the said amounts and values to the public treasury within the thirty days following the submission of this statement.

Article : 148

The minister, after submission to the Cabinet of Ministers, may set one or more systems for rewarding the administration's workers in light of their performance rates as well as the volume and level of their accomplishment at work, without being restricted by any other system. The general budget of the state may comprise appropriating amounts for contribution by the State to the social and health care fund of the administration's workers and their families, and those retired or to be retired of them, and their families.